

Student Name: Sneha Kapoor

Roll No: 12COM005

Subject: Accountancy

|                       |                                        |
|-----------------------|----------------------------------------|
| School / Institution: | Modern School, Vasant Vihar, New Delhi |
| Student Name:         | Sneha Kapoor                           |
| Roll Number:          | 12COM005                               |
| Class:                | XII-E                                  |
| Subject:              | Accountancy                            |
| Barcode:              | BAR105                                 |
| Date of Examination:  | 15 March 2025                          |
| Session:              | 2024-25                                |

I hereby declare that the answers written in this booklet are my own. I have not used any unfair means during the examination.

Candidate's Signature: \_\_\_\_\_

Invigilator's Signature: \_\_\_\_\_

Room No: \_\_\_\_\_

SECTION A — Very Short Answer (1 mark each)

Q1. What is 'Goodwill' in accounting?

[1 mark]

Goodwill is an intangible asset representing the excess value of a business over the fair value of its net identifiable assets.

It represents reputation, customer base, brand value, and business relationships.

Goodwill = Purchase Price - Fair Value of Net Assets

It arises in mergers, acquisitions, and partnership changes.

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| Marks      |  |
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| Awarded /1 |  |
| Initials   |  |

Q2. Define 'Debenture'.

[1 mark]

A debenture is a long-term debt instrument issued by a company to raise capital from the public.

Debenture holders are creditors of the company and receive fixed interest regardless of profit.

Types: Secured/Unsecured, Convertible/Non-convertible, Redeemable/Irredeemable

Interest on debentures is a charge against profits (not appropriation).

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Q3. What is meant by 'Calls in Arrears'?

[1 mark]

Calls in Arrears is the amount due from shareholders who have not paid the call money on shares allotted to them by the due date.

It is shown on the asset side (debit side) of the Balance Sheet under Current Assets.

Interest @ 5% p.a. can be charged on calls in arrears as per Table F of Companies Act.

| Marks    |  |
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| Initials |  |

Q4. State any two features of partnership.

[1 mark]

Features of Partnership:

1. Agreement: Partnership must be based on a contract (written or oral) between two or more persons.
2. Lawful Business: Partners must carry on a lawful business activity together for profit.
3. Sharing of Profits: Profits and losses are shared in agreed ratio (or equally if not agreed).
4. Mutual Agency: Each partner acts as agent for other partners and the firm.

| Marks    |  |
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SECTION B — Short Answer (3 marks each)

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**Q5.** A, B and C are partners sharing profits in ratio 3:2:1. C retires and his share is taken by A and B in ratio 2:1. Find new profit sharing ratio. [3 marks]

Old ratio: A:B:C = 3:2:1

C's share =  $\frac{1}{6}$

C's share distributed between A and B in ratio 2:1:

A gains =  $(\frac{2}{3}) \times (\frac{1}{6}) = \frac{2}{18} = \frac{1}{9}$

B gains =  $(\frac{1}{3}) \times (\frac{1}{6}) = \frac{1}{18}$

New ratio:

A =  $\frac{3}{6} + \frac{1}{9} = \frac{9}{18} + \frac{2}{18} = \frac{11}{18}$

B =  $\frac{2}{6} + \frac{1}{18} = \frac{6}{18} + \frac{1}{18} = \frac{7}{18}$

New profit sharing ratio A:B = 11:7

Verification:  $\frac{11}{18} + \frac{7}{18} = \frac{18}{18} = 1 \checkmark$

| Marks    |  |
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**Q6.** Ram Ltd. issued 1000, 12% debentures of Rs. 100 each at a discount of 5%. Pass the journal entries for issue. [3 marks]

JOURNAL ENTRIES:

On Application and Allotment:

Dr. Bank A/c 95,000

Dr. Discount on Issue of Debentures 5,000

Cr. 12% Debentures A/c 1,00,000

(Being 1000, 12% debentures of Rs. 100 each issued at 5% discount)

Note: Amount received =  $1000 \times \text{Rs. } 95 = \text{Rs. } 95,000$

Discount =  $1000 \times \text{Rs. } 5 = \text{Rs. } 5,000$

Face value =  $1000 \times \text{Rs. } 100 = \text{Rs. } 1,00,000$

Discount on issue of debentures is a capital loss written off against Securities Premium or Revenue Reserves.

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Q7. What is 'Forfeiture of Shares'? Give journal entry for forfeiture of shares issued at premium. [3 marks]

Forfeiture of Shares: When a shareholder fails to pay any call money, the company may forfeit (cancel) those shares after proper notice.

Forfeited shares can be reissued at any price not less than the discount.

JOURNAL ENTRY for forfeiture (shares issued at premium, premium already received):

- Dr. Share Capital A/c [Called up value]
- Cr. Calls in Arrears A/c [Amount unpaid]
- Cr. Share Forfeiture A/c [Amount received including premium]

Example: 100 shares of Rs. 10 each, Rs. 8 called, Rs. 2 unpaid:

- Dr. Share Capital A/c 1,000
- Cr. Calls in Arrears A/c 200
- Cr. Share Forfeiture A/c 800

| Marks    |  |
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| Awarded  |  |
| /3       |  |
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SECTION C — Long Answer (6 marks each)

Q8. P, Q and R are partners with capitals of Rs. 1,00,000; Rs. 80,000 and Rs. 60,000. They share profits in 2:2:1. On 31st March 2024, they decide to dissolve the firm. Assets realised Rs. 2,50,000. Liabilities paid Rs. 30,000. R is insolvent. Prepare Realisation Account and Capital Accounts. [6 marks]

REALISATION ACCOUNT:

Dr. Side:



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\*\*\* END OF ANSWER BOOKLET \*\*\*

MARKS SUMMARY (For Examiner Use Only)

| Section                 | Max Marks | Marks Obtained | Examiner Initials |
|-------------------------|-----------|----------------|-------------------|
| Section A (1 mark × 4)  | 4         |                |                   |
| Section B (2 marks × 3) | 6         |                |                   |
| Section C (4-5 marks)   | varies    |                |                   |
| Section D (5-6 marks)   | varies    |                |                   |
| TOTAL                   | 100       |                |                   |